

Is ExxonMobil Stock Worth What It's Trading At?

What ExxonMobil Actually Does

ExxonMobil is the largest U.S. oil and gas company. In simple terms, it makes money three ways: pulling oil and natural gas out of the ground (its biggest source of profit), turning crude oil into usable products like gasoline at its refineries, and making chemicals used in everything from plastics to clothing. In 2025, the company brought in \$332 billion in revenue and kept \$28.8 billion of that as profit, a bit less than the year before, mostly because oil prices were softer for most of the year.

How I Determined What the Stock is Worth

The method used here is called a discounted cash flow analysis. It is built on a simple idea: a company is worth the total amount of spare cash it will generate for its owners in the future, adjusted down a bit because a dollar you'll receive five years from now is worth less than a dollar in your pocket today (it could be earning interest in a bank account in the meantime, and it's less certain actually to arrive). So the process is:

- Estimate how much extra cash the business will generate each year for the next five years, after covering all its costs and the spending it needs to keep running (new wells, equipment, refineries, and so on).
- Reduce ("discount") each of those future cash amounts to reflect that money later is worth less than money now.
- Add up those adjusted amounts, plus an estimate of everything the company will earn beyond year five, to get a total value for the whole business.
- Subtract what the company owes in debt, add back its cash on hand, and divide by the number of shares to get a value for a single share of stock.

That final number is what this analysis calls "fair value." It is an estimate, not a fact, and it is only as good as the assumptions behind it. The next section lays out those assumptions directly.

What the model assumes

Driver	Assumption	Rationale
Revenue Growth	2.0% - 3.0% over 5 years	Production growth (Permian, Guyana) offsetting flat-to-soft commodity prices
EBIT margin	13.0% -14.5%	Gradual recovery from 2025, supported by continued structural cost savings
CapEx (% of sales)	8.5 - 7.5%, tapering	Management guidance of 27\$-29B, flattening as major growth projects complete
WACC	8.20%	CAPM-based cost of equity (~8.5%) along with after-tax cost of debt, at target capital structure
Terminal growth	2.50%	Roughly long-run GDP/inflation

Why This Estimate Comes In Below the Stock Price

Oil company profits swing with oil prices:

Most of ExxonMobil's earnings depend on the price of crude oil and refined fuel, which the estimate doesn't try to predict; it just assumes a gradual, modest improvement.

The company has to keep spending heavily just to stand still:

Oil wells run dry, and refineries wear out, so a large share of profit must be reinvested every year just to keep production flat, let alone grow it.

Investors are paying extra for stability, not just growth:

ExxonMobil has raised its dividend for 43 straight years and holds one of the strongest balance sheets in the industry. A meaningful part of its stock price reflects that reliability rather than a bet on faster growth, something this type of estimate does not fully capture.

The Case for the Current Price

Production could grow faster than expected:

ExxonMobil's oil fields in West Texas and Guyana (South America) have been growing quickly. If that continues faster than the modest 2-3% assumed here, the fair value estimate rises.

The discount rate used here is debatable:

A big chunk of the gap comes from the 8.2% rate used to reduce future cash to today's dollars. Reasonable people could use a lower number, which alone would push fair value above \$159.

Cash returned to shareholders isn't fully credited:

The company plans to spend \$20 billion buying back its own stock in 2026 on top of its dividend. That's a direct way of returning value to shareholders that this type of estimate only partly reflects.

How ExxonMobil Compares to Its Competitors

Another way to double-check a fair value estimate is to compare how a company is priced with similar businesses. Here, ExxonMobil is compared to Chevron and Shell using a simple measure: how many years of profit investors are effectively paying for when they buy the stock.

Company	Years of profit investors are paying for	Dividend paid to shareholders each year
ExxonMobil (XOM)	~20.6x profit	~2.6% of the stock price
Chevron (CVX)	~18.9x profit	~3.6% of the stock price
Shell (SHEL)	~12.4x profit	~3.5% of the stock price

ExxonMobil is the most expensive of the three on this measure and pays out the smallest share of its stock price as a dividend. That confirms the earlier estimate: two independent methods point to the same conclusion, the stock is priced at a premium right now.

The Big Wildcard Right Now: War in the Middle East

As of August 2026, this is easily the most important factor hanging over ExxonMobil's near-term results, more important than any of the assumptions above.

Since late February 2026, the United States and Israel have been conducting military operations against Iran, and Iran has responded by attacking ships passing through the Strait of Hormuz, a narrow waterway that normally carries about a quarter of the world's oil trade by sea. Traffic through the strait has nearly stopped: around 10 to 25 ships a day are getting through now, compared to roughly 130 a day before the conflict began, according to ship-tracking data. The International Energy Agency, the world's leading energy monitoring body, has called it the largest disruption in oil market history.

There's no end in sight yet. The U.S. government's own estimate, reported by Bloomberg, is that this disruption could continue at a meaningful level through the end of 2027. Iran has said it's close to a deal with a neighboring country to reopen the strait, but only if the U.S. lifts sanctions and pays reparations, something the U.S. hasn't agreed to. As a result, oil prices have jumped sharply: the U.S. government's own energy forecasters now expect oil to average around \$85 a barrel this quarter, up from about \$58 expected before the conflict started, a roughly 45% jump in just a few months.

The group of oil-producing countries that usually helps stabilize prices by pumping more oil (known as OPEC+) has made only a small increase in production so far, and even major producers like Saudi Arabia are struggling to ship their oil because of the same shipping disruption. In other words, the usual safety valve isn't working right now.

Why this cuts both ways for ExxonMobil:

Higher oil prices generally boost ExxonMobil's short-term profits, since it earns more for the oil it pumps out of the ground. That actually works in favor of the profit assumptions used in this estimate. But this is an unstable, fast-moving situation, not something reliable to count on. A sudden peace deal could quickly send oil prices (and ExxonMobil's near-term profits) back down. Further escalation could push prices and profits even higher, but it could also bring more uncertainty and risk. Either way, what happens with this conflict over the next year is likely to matter more to ExxonMobil's actual results than any of the modeling assumptions in this document.

How Much Should You Trust the \$132 Number?

Treat the exact number with skepticism. Adjusting the two most important assumptions (the discount rate and the long-run growth rate) even slightly swings the estimate from as low as \$98 a share to as high as \$201 a share. That range is not a flaw in the process; it reflects how much this kind of estimate depends on assumptions about the future that nobody can know for certain. Read this analysis as: the stock looks overpriced under reasonable, middle-of-the-road assumptions, though the exact size of the gap is genuinely uncertain.

Bottom Line

ExxonMobil's stock is overpriced relative to the cash the business is likely to generate, and an independent comparison to its two closest competitors confirms the same read. Two methods pointing the same direction make this a credible conclusion, not a coin flip. That said, the size of the gap is genuinely uncertain, especially with the unresolved Middle East conflict currently driving oil prices higher, and the market may simply be paying a fair price for ExxonMobil's stability and track record rather than mispricing the stock. The most useful takeaway is not a precise price target; it is a clear sense of what would need to be true, and what to watch, for either side of this thesis to play out.

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